

Sample Description Letter

[Fund Letter Head/Footer: GP Name, GP Address, GP Phone, GP Logo]

To: [LP Contact(s), LP Contact Information]

From: [GP Contact, GP Contact phone number, GP Contact email address]

RE: [Fund legal name]

Date of Notice: [Date]

Date Due: [if Call] [Date]

Investment Fund II, L.P. (the Fund) is calling \$#### as a net contribution for an investment, management fees and expenses, offset by a cash distribution. Please refer to the attached schedule for a breakdown of the components of the amount, and to the narrative below for a description of the components referred to in this notice.

Your portion of the call is \$1,750,000. After this notice, you will have contributed 40% of your commitment of \$50,000,000, and your unfunded commitment will be \$30,000,000. You have received \$10,000,000 in distributions, of which \$5,000,000 is considered Rec callable Capital per Section 3.3 of the LPA. Please refer to the Schedule for further details.

Please wire your funds to:

Date Due	<u>1/10/2011</u>
Amount Due	<u>\$1,750,000</u>
Bank Name	Private Equity Bank
Bank Contact	Jane Doe, (213) 987-9876
Bank Address	1234 Wilshire Blvd., Los Angeles, CA, 90024
ABA #	023 334 023
Credit to	Investment Fund II, L.P.
Account #	445632189

The Fund is calling \$75,000,000 for an investment in ABC Company. ABC is a manufacturer of widgets located in Akron, Ohio and will use the capital to expand into the Canadian market. The deal is expected to close on 2/15/2011, and is expected to consist of a total financing of \$150,000,000, with \$15,000,000 coming from the Bank of Ohio in the form of a senior secured note and the remaining \$60,000,000 coming from investment partner Midwest Fund. Both the Fund and the Midwest Fund will receive participating preferred stock with a 1x liquidation preference and a cumulative 8% dividend. ABC Company has a TTM EBIDTA of \$50,000,000 and a total enterprise value (post money valuation) of \$400,000,000. At the close of the transaction, the Fund will have a total invested capital of \$100,000,000 in ABC Company, including \$25,000,000 of junior debt from a prior round.

The Fund will incur \$3,000,000 for gross Q1 Management Fees. The Fund received \$1,000,000 in monitoring fees during the past quarter, of which 50% are offset against the called fee, thus the net capital call for Management Fees is \$2,500,000. Your calculations are presented in the attached Schedule, and adhere to the terms of Section 8.1 of the LPA.

The Fund is distributing \$40,000,000 in proceeds received from FGH Company, which was sold to strategic buyer, StratCo, in an all-cash transaction that closed on 12/15/2010. StratCo priced the

transaction at 5.5x TTM EBITDA, for a total cash sale price of \$400,000,000. Additionally, \$80,000,000 was placed into escrow related to a potential earn-out if FGH Company meets certain milestones (the Fund's portion could be up to \$8,000,000). Including this distribution, the Fund's investment in FGH Company has returned 3.0x MOIC with an IRR of 25%. One third of this amount is return of capital, and the remainder is an investment gain. Pursuant to the waterfall outlined in Section 4.1(b) of the LPA, the GP is not currently taking any carried interest on this deal.

The Fund is also distributing 500,000 common shares received from IJK Company, which went public on the New York Stock Exchange on 11/15/2010. The shares are common stock, ticker symbol IJK. The shares have a current value of \$5,000,000, or \$10/share, computed as defined in Section 4.4(d) of the LPA as the average value over the last 10 trading days. The shares are governed by a 6-month lock-up provision that expires on 5/15/2011. The settlement location for the shares is CustodianCo, 123 Custodian Blvd, New York, NY, 10001, contact: John C. Doe at (212) 321-3210, jdoe@custodianco.com. The cost basis of the distributed shares is \$4,000,000 or \$8.00/share. Pursuant to the waterfall outlined in Section 4.1(b) of the LPA, the GP is not currently taking any carried interest on this deal. The value does not affect the cash amounts listed above.

Best Regards,

James Q. Partner